Influences Upon Organizational Ethical Subclimates: A Multi-departmental Analysis of a Single Firm

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This paper addresses the often discussed, but underresearched topic involving organization design and ethical outcomes. The paper's central contribution derives from its innovative extension of the J. D. Thompson framework to ethical climate theory and empirically investigating some key .constructs. The paper should serve to motivate and stimulate research on designing value rational organizations.

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Abstract

Organizational values and beliefs significantly influence employee decision making and behavior and manifest themselves as multiple climates existing within a single organization. A subset of organizational climate is an ethical climate, embodying normative values and beliefs involving moral issues shared by the employees of the organization. Reseachers have found multiple ethical climates present in an organization.

This research explores a plausible explanation for the discovery of multiple ethical climates, or subclimates, within an organization. Specifically, the research tests the assumptions that the departmental task and stakeholder relationships influence and differentiate the ethical decision-making framework used by employees and the resulting ethical subclimate. Categories developed by Thompson (1967) are extended to identify distinct departmental tasks and stakeholder relationships in order to assess their influence upon the employees' ethical decision-making process and departmental ethical subclimate.

In order to uncover the various ethical subclimates within each workgroup, the Ethical Climate Questionnaire, developed by Victor and Cullen (1987, 1988), was used in a modified form. The original instrument required the subjects to rate, on a Likert scale, the relevance of each ethical climate statement. In this project, a ranking of the statements was performed by the subjects, which minimizes the social desirability bias in the subjects' responses.

This research found that the departmental task and stakeholder relationships so strongly influence employee decision making in all three department types that the ethical subclimate was also affected. Employees in a technical core department tend to use an individual locus of analysis and an egoistic criterion for decisions, emphasizing an instrumental ethical climate type. Buffer department employees exhibit a mix of ethical decision characteristics, but clearly manifest a caring ethical climate type. Employees in boundary spanning departments show a preference toward a cosmopolitan perspective and principle ethical reasoning, as well as a law and code ethical climate type.

(*Ethical Climates*; *Ethical Decision Making*; *Departmental Tasks*; *Stakeholder Relations*)

Recent business periodicals and academic literature acknowledge the importance of shared organizational values and beliefs as significant influences upon employee decision making leading to behavior (Caudron 1992, Howard 1990, Schein 1985). Embodied within the general organizational culture are shared normative values and beliefs regarding moral rightness and wrongness. These influence the ethical dimension of the employees' decision making and behavior, and provide collective norms for right (ethical) or appropriate behavior for the employees (Trevino 1990). The ethical values embedded in the organization socialized employees toward proper ethical decisions and behavior (Smith and Carroll 1984).

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Empirical assessments of organizational ethical climates are limited. Victor and Cullen (1988) report that various organizational ethical climate types characterized the four firms in their study, as well as discovering multiple ethical climate types within the firms. Other studies also found the presence of multiple climates (particularly, Meglino et al. 1989). However, what remains unknown is: *What are the critical factors accounting for the differences in the multiple ethical subclimates discovered within an organization?*

This research proposes to investigate whether the existence of, and differences between, multiple ethical subclimates are based upon differences in the job tasks entrusted to different types of departments and the stakeholder relationships inherent to each department. By extending James Thompson's (1967) organizational design model, a description of three distinct types of departments (the technical core, buffer departments, and boundary spanning departments) emerges. Each of these three groups serves a particular stakeholder population and renders a unique service for the organization.

It is argued that the differences in the organizational design, measured by the differences in departmental tasks and stakeholders served, influence ethical decisions leading to ethical behavior. A similar linkage has been discussed in the corporate social performance literature (Ackerman and Bauer 1976). Numerous organizational factors have been investigated as influencing corporate social performance: structure of the board of directors, corporate size, form of organization, etc. (Reed et al. 1990.) The review of the literature by Reed, et al. determines that empirical studies are inconclusive. In the future researchers should recognize the potential importance of focusing upon "corporate culture as a factor affecting social performance" (Reed, et al. 1990 p. 36) Following this suggested line of research, organizational characteristics are explored regarding their influence upon ethical decision making and the organization's resulting ethical performance.

The influence of the job task assigned to *each department type* could be seen through differences in ethical decision making by employees. The frame of reference or ethical theory used by employees in a department may be used as a surrogate for departmental ethical subclimates. These ethical decision-making dimensions are expressed in a framework developed by Bart Victor and John Cullen (1988). Their framework identifies two dimensions commonly used by employees in ethical decision making: (1) *locus of analysis* and (2) *ethical criterion.* Dimension (1) identifies the referent group used for applying an ethical criteria to organizational decisions. These groups range from the individually focused to groups or individuals outside the organization. Dimension (2) utilizes various ethical theories as guides when employee decision making involves the resolution of a moral issue.

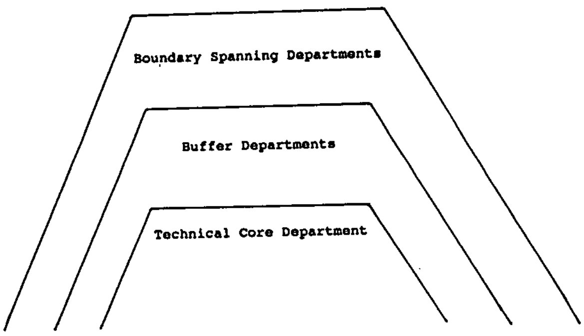
Through this investigation of organizational ethical subclimates, Victor and Cullen's two dimensions are scrutinized regarding the necessity and importance of both, as descriptors of ethical subclimates. It may be discovered that neither is essential in the determination of ethical subclimates existing within the organization.

Utilizing the Ethical Climate Questionnaire, also developed by Victor and Cullen (1987, 1988), this research attempts to explain the discovery of multiple organizational ethical subclimates. Specific ethical decision-making dimensions and ethical subclimates are hypothesized to be associated with different department types due to differences in the departments' tasks and stakeholder relationships. This research also discusses the behavioral implications associated with the types of ethical subclimates found in the organization.

Theoretical Foundations and Hypotheses

The function or purpose of departments within an organization and the task assigned to the departmental members have been recognized as having a significant influence upon the organization's strategy and performance (Daft 1989). Vroom (1964) acknowledges the influence of the employees' work group upon employee decisions and actions through social affiliation and the manifestation of group norms. This relationship has been empirically explored. Initially researchers found only a weak positive relationship. Reviewers of the job design literature (Aldag and Brief 1979, Pierce and Dunham 1976) conclude that "affective and motivational responses appear to be more strongly related to task design than are behavioral responses" (Pierce and Dunham 1976, p. 87). However, Griffin (1982) argues that previous task attribute-performance literature is methodologically flawed due to inaccurate measures and the artificiality of the research settings. He concludes that "the literature is characterized by conflicting empirical findings, research designs which may be deficient in one or more ways, and disagreement over appropriate analysis techniques" (Griffin 1982 p. 929). In a subsequent laboratory study, Griffin et al. (1987) find strong support for an integral perspective derived from the job characteristics and social information processing models of task design.

Figure 1 **Types of Departments**
(from Thompson, 1967)



Specific to this research focus is the influence of each department's job task upon ethical subclimates. Research linking departmental job tasks to employee ethical decision making is limited. Recent business ethics models have stressed the importance of organizational factors as influencing ethical decision making and behavior (Ferrell and Gresham 1985, Hunt and Vitell 1986). A model developed by Trevino (1986) identifies situational moderators, which include "characteristics of work," as potential influences upon ethical decision making in organizations. However, the specific influence of departmental task upon ethical decision making is empirically unexplored.

Thompson's Model

In order to investigate this relationship, three distinct departmental types, each with their unique organizational task, are identified by Thompson (1967) and shown in Figure 1. Thompson's theory of the organization has been repeatedly cited as a classic pillar of modern organizational thought (for example, see Daft 1989, Scott et al. 1981). His distinctions serve as a valuable framework in analyzing differences within an organization regarding the department's ethical subclimates. It enables researchers to investigate multiple systems operating within a single organization. Thompson (1967) presents a concise organizational design (i.e., an emphasis upon a few types of departments within an organization, or environmental forces influencing the organization) and a framework adaptable to various diverse organizations. Besides the application of his model to traditional business firms, empirical researchers have recently utilized his framework in assessing hospitals (Fennell and Alexander 1987) and small firms (Carter 1990). The use of Thompson's (1967) designations of departmental tasks enhances the research due to the design's parsimony, representativeness, and adaptability.

The first type of departmental task is embodied in the *technical core*. Technical core departments are the organization's basic production activity. These departments are the most protected from external influences, shielded by buffer departments. Since the central obligation is to serve the organization's primary activity, technical core employees may be more insulated in the organization and thus may exercise a greater attention toward the organization alone. The organization is the critical stakeholder for the technical core departments.

Thompson's (1967) second type of organizational departmental task is represented by the *buffer departments*. These departments surround the technical core, making the technical core as nearly a closed system as possible, and enable the technical core to function efficiently. Within the buffer departments are specialists, adept at performing their customized task in service to the entire organization. These specialists are accountable to multiple stakeholders, yet all of the key stakeholder groups are internal to the organization. Although vulnerable to the influence of external stakeholders, the buffer departments' task results in a focus inward toward serving the organization and its needs.

Finally, Thompson (1967) identifies a third department type: the *boundary-spanning departments*. The organizational members of these departments link the organization with key external environment individuals and groups. The primary task for these departments is to minimize uncertainty in the external environment which may jeopardize the efficient operation of the organization. The influence from stakeholder groups external to the organization is at its greatest degree. The boundary spanning departments often struggle with a sense of dual accountability: the organizational employer versus those external organizational stakeholders with substantial influence.

According to Thompson (1967), the critical distinction between each of these departmental types is the population they serve and the service they render. Current strategic management literature has advanced the notion of "population served" by introducing the concept of "stakeholder management." The stakeholder approach in strategic management was formally introduced by Freeman (1984) to assess and resolve complex interrelational problems between the firm and its various stakeholders. A stakeholder, as defined in the literature, is an individual or group of individuals who are affected by or affect the organization and its decision-making process, in Thompson's (1967) terminology: a population. Thus, the stakeholder approach considers that each department may be acountable for different tasks and to different stakeholder groups.

These differences may also extend to the framing of ethical decision making by each of the employees within the particular departments. Thus, underlying the differences in ethical decision making may be the organizational task assigned to each of the departments in an organization and the stakeholder(s) to whom the department is(are) accountable. These differences could manifest themselves through the discovery of multiple ethical subclimates.

Victor and Cullen's Framework

The distinctions provided by Thompson can be linked with the ethical decision-making framework developed by Victor and Cullen (1988). The first dimension of their ethical decision-making framework, the locus of analysis (shown in Figure 2), refers to a referent group as the source of moral reasoning used in ethical decision making. This dimension is presented as an organizational concept, and parallels Thompson's (1967) depiction of the three types of departmental tasks within an organization.

The first referent group for Victor and Cullen (1988) is the *individual*. At the individual level, the manager focuses narrowly upon the employing organization as the referent for ethical decision making. A Thompsonian understanding of this notion may coincide with membership in the organization's technical core. By perpetuating the efficient performance of the organization's primary production activity, technical core members become the most insulated employees. This insulation may attribute to a reliance upon the prevailing normative climate, such as using narrowly focused organization values or self-interest as a guide to ethical decision making. Therefore, a focus toward the most basic core of the organization (the technical core) may be associated with Victor and Cullen's (1988) emphasis upon the individual as the focus for decision making.

The second level of Victor and Cullen's (1988) locus of analysis dimension is the *local*, or organizational, level. This level expands beyond the narrow locus of analysis found in the previous level to include a broader organizational emphasis. Translating Victor and Cullen's (1988) notion into Thompson's framework, we can understand the local level as buffer departments, seeking to serve the entire organization through their protection of the organization's technical core. These departments are not entrusted with the basic performance of the organization's primary production activity, but enable the technical core to achieve their goal by providing highly specialized skills in service across the entire organization.

The final locus of analysis dimension for Victor and Cullen (1988) is the *cosmopolitan* level. This level is the broadest in its focus, going beyond the organization to include individuals and groups external to the organization. Thompson would call these employees: boundary spanners. These organizational members play a unique role for the organization. The boundary spanner "is more distant, psychologically, organizationally, and often, physically, from other members of his organization than they are from each other, and he is closer to the external environment and to the agents of outside organizations" (Adams 1976, p. 1176).

Boundary spanners perform a number of services for the organization. They serve as an interface between the organization and the external environment, as well as protect the organization from external forces which could increase uncertainty or stress. Boundary spanners regulate the flow of information between the organization and external stakeholders. Through boundary spanners, the views of external stakeholders are brought into the organization and influence organizational decision making and performance. Due to the functions performed by boundary-spanning personnel and the extensive exposure to external stakeholders of the organization, it is possible that employees in the boundary-spanning departments may be more influenced by people outside the organization than by internal forces, such as the CEO (Leifer and Delbecq 1978), thereby acquiring a cosmopolitan locus of analysis.

The linkage between Thompson's (1967) classification of departmental tasks and Victor and Cullen's (1988) locus of analysis dimension leads to the following hypotheses.

H1a. *Employees in technical core departments are more likely to exhibit an individual locus of analysis in their ethical decision making than other employees.*

H1b. *Employees in buffer departments are more likely to exhibit a local (organizational) locus of analysis in the ethical decision making than other employees.*

Figure 2 Ethical Climate Types
(adapted from Victor and Cullen, 1988)

	Locus of Analysis		
	Individual	Local	Cosmopolitan
Ethical Criterion Egiosm	Instrumental		Caring
Benevolence	Caring		
Principle	Independence	Rules	Law and Code

H1c. *Employees in boundary spanning departments are more likely to exhibit a cosmopolitan locus of analysis in their ethical decision making than other employees.*

These three hypotheses predict a parallel progressive movement. As we move across types of departmental tasks (as developed by Thompson (1967) technical core, buffer departments, boundary spanning departments), we also move across an ethical decision-making dimension (locus of analysis, presented by Victor and Cullen (1988) individual, local, cosmopolitan). If these hypotheses are supported, it would point to a significant impact exerted by the department's task and stakeholder relationships upon employee ethical decision making within the organization.

Victor and Cullen (1988) also provide a second dimension critical in understanding employee ethical decision making: the ethical criterion. Based upon major ethical theories, three ethical criteria are presented: egoism, benevolence, and principle. These criteria, shown in Figure 2, differ in terms of the constructs or guidelines used to reach an ethical decision.

Egoism is primarily based upon the maximization of self-interest. The decision-maker seeks the alternative with the consequences which most satisfies one's own needs, forsaking the needs or interests of others. This focus may be akin to Thompson's emphasis upon the efficient productivity entrusted to the technical core employees. Their task is the most focused (the efficient production task of the organization) and may be understood in ethical decision-making as a form of egoism. Aldrich and Herker (1977) argue that employees' interaction with the public (in this case, the absence of such interaction) may significantly influence the employees' values and attitudes. The absence of social influence may lead to an inward, self-interest focus regarding the ethical decision making for technical core employees.

The second ethical criterion, *benevolence*, extends the consequentialist's notion found in egoism to a maximization of joint interests. The decision-maker seeks the alternative which provides the greatest good for the greatest number of people involved in the decision, even if it means a lesser satisfaction of individual needs. This utilitarian notion may be found in the departmental task given to the buffer departments in an organization. Rather than the more narrow task assigned to the technical core, buffer departments may be more concerned with overall satisfaction within the organization since the stakeholders they serve encompass the entire organization.

Finally, Victor and Cullen's (1988) ethical criterion of *principle* embodies the application or interpretation of rules, laws, or standards. The decision-maker has replaced the pursuit of the alternative emphasizing the best outcomes with seeking a solution based upon an adherence to abstract rules and codes. The influence of principled ethics may need to come from outside the organization. Victor and Cullen (1988) suggest that the influence would be from professional associations, bodies of law, or governmental regulatory agencies.

The demands placed upon boundary-spanning employees by external stakeholders (e.g., professional associations, government agencies, customers, etc.) require them to become more aware of, and responsive to, the goals and principles embodied within these stakeholder groups. An investigation of bank employees by Schneider et al. (1980) supports the belief that boundary spanners more closely identify with customers and their goals than other organizational employees. Therefore, employees in boundary-spanning departments, possibly due to their position or role in the organization, are generally more externally-focused and less susceptible to influence from organizational bureaucracy (Parkington and Schneider 1979). Since employees in the boundary spanning departments are most vulnerable to influence from the external environment, it seems reasonable to believe that the boundary spanning departments' exposure to the principle ethical standards found in many external environment forces would affect the employees' decision-making processes in these departments.

The relationship between Thompson's departmental tasks and the ethical criterion identified by Victor and Cullen (1988) lead to the following hypotheses.

H2a. *Employees in technical core departments are more likely to exhibit an egoism ethical criterion in their ethical decision making than other employees.*

H2b. *Employees in buffer departments are more likely to exhibit a benevolence ethical criterion in their ethical decision making than other employees.*

H2c. *Employees in boundary spanning departments are more likely to exhibit a principle ethical criterion in their ethical decision making than other employees.*

While the two dimensions presented by Victor and Cullen are descriptive of employee ethical decision making, the focus is upon organizational ethical subclimates. Thus, an additional level of analysis is warranted to move beyond ethical decision-making dimensions to ethical climate types.

The task of assessing an organization's climate was pursued by Victor and Cullen (1987, 1988). Underlying their work is the assumption that an organization's "work climate determines what constitutes ethical behavior at work" (Victor and Cullen 1988 p. 101). Building upon this premise, Victor and Cullen developed nine theoretical ethical climate types (for a complete discussion see Victor and Cullen 1988, Cullen et al. 1989). Although nine theoretical ethical climate types emerge from the 3×3 matrix of the ethical criterion and locus of analysis dimensions, Victor and Cullen (1988) empirically found that some climate types overlapped. The result was a consolidation into five ethical climate types: instrumental, caring, independence, rules, and law and code. These five types are shown in Figure 2.

The instrumental climate is driven by a maximization of self-interest (egoism) for the manager or the organization. A caring climate primarily embodies a benevolence ethical criterion, or the maximization of joint interests across all locus of analysis. Finally, the principle ethical criterion changes its ethical climate type as it shifts its referent group or locus of analysis. In this regard, the independence climate corresponds to the individual or managerial focus, the rules climate focuses upon the organization, and the law and code climate emphasizes a concern for individuals or groups outside the organization. Each of these last three ethical climate types use an adherence to an ethical standard as a guide for ethical decision making.

The ethical climate type for each department within an organization can be discovered by linking the hypothesized relationships presented in H1a, H1b, and H1c with the hypothesized relationships presented in H2a, H2b, and H2c, respectively. Thus, it is hypothesized that:

H3a. *Employees in technical core departments are more likely to exhibit an individual locus of analysis and an egoism ethical criterion, thus an instrumental ethical climate type, than other employees.*

H3b. *Employees in buffer departments are more likely to exhibit a local locus of analysis and a benevolence ethical criterion, thus a caring ethical climate type, than other employees.*

H3c. *Employees in boundary spanning departments are more likely to exhibit a cosmopolitan locus of analysis and a principle ethical criterion, thus a law and code ethical climate type, than other employees.*

Methods

Subjects

The organization selected for the ethical climate analysis was a large, midwestern financial institution. It ranked in the top 200 institutions nationally in deposits and assets. Seven departments from the financial institution were selected for this project. Employees of a large check processing department were selected as representatives of the technical core ($n = 33$, response rate = 83%.) This department is assigned the task of the organization's basic production activity and is well insulated from the organization's external environment.

Three additional departments from the same firm were also selected as fulfilling the role of the organization's buffer departments ($n = 73$, response rate = 96%.) The primary function of these three departments is to provide support services for the firm's technical core. The systems development, information service, and technical writing departments focus internally upon the organization, assisting the organization through its specialized services.

Finally, three boundary-spanning departments were selected ($n = 56$, response rate = 90%.) Customer service is the task of these departments: commercial lending, branch banking, and business services. Each department's primary objective is the service of a stakeholder external to the firm. Common departmental practices reflect boundary spanning activities, and each department's actions are strongly influenced by governmental regulatory agencies.

In total, there were 167 employees from the organization used in this investigation, representing a combined response rate of 91 percent. Statistical analysis was performed to detect any differences in employee decision-making orientation due to the subject's gender, age, length of work experience, or education. No statistical differences were discovered.[1]

Materials

The Ethical Climate Questionnnaire (Victor and Cullen 1987, 1988) was developed to tap the respondents' perception of how the members of their respective organizations typically make decisions requiring ethical judgments. For this research, the questionnaire was slightly modified from the original use of a Likert scale rating procedure to a ranking procedure to elicit the employees' responses to various value statements reflecting the departments' ethical decision-making process. The change to a ranking procedure was made due to a discovery in the pre-test phase (a 5-point, Likert scale was used consistent with Victor and Cullen's original methodology). Many of the subjects tended to rate a majority of the value statements at the high end of the scale ("5"). This circumstance may be reflective of a social desirability hazard commonly found in business ethics research (Randall and Gibson 1990). Due to the rating task responses, it was more difficult to distinguish between the respondent's preferences for the value statements. Switching to the ranking procedure forced the respondents to differentiate between their preferences for the value statements, thus minimizing the social desirability tendency found in the pre-test phase. The use of a ranking procedure in values research has been found to be quite reliable (Ravlin and Meglino 1987). The statements contained in the Ethical Climate Questionnaire are shown in the Appendix.

The employees of the financial institution were asked to read each of the value statements in the questionnaire and to select the seven statements that most describe the values embodied in their department's decision-making process. The employees were asked to rank these seven statements. The decision to limit selection to the seven most descriptive statements is based upon research reported in the psychology literature. Miller (1956) found that the number of categories the human mind can hold simultaneously is seven, plus-or-minus two. Although subsequent research has found some variance regarding the number of cognitive operations capable of being simultaneously processed based upon the individual's cognitive complexity, the ranking of seven value statements from the Ethical Climate Questionnaire appeared to be reasonably challenging and was selected for this research. The employees were asked to respond *not* in terms of how they would prefer their department to be, but in terms of *how they perceive it really is* in their department. The order of the statements in the questionnaire was scrambled across the departments to control for order effects. An analysis of the independence and comprehensiveness of the five ethical climate types is reported by Victor and Cullen (1987). They conclude from their analysis that the Ethical Climate Questionnaire scales are adequate for subsequent investigative research, although additional instrument development is warranted.

Procedures

The surveys were distributed in the seven departments by employees of the financial institution. Employees were given the surveys and asked to complete the questionnaires at their convenience and return them to the distributing employee. The employees were told that completing the survey would assist their coworkers in a class project (which was true), and that their anonymity would be protected, since the questionnaire should not be signed. The only distinguishing notation required on the surveys was the department affiliation and general demographic information.

Measures

Each of the employees' responses was recorded as an "item ranking score." These rankings were then converted into "item points" by reverse-weighing the ranking (e.g., 1st = 7 points, ..., 7th = 1 point). The 167 questionnaires were then separated according to the three department groups within the organization. Further analysis was performed for each of the three subpopulations in this project.

Utilizing the factor analysis results reported by Victor and Cullen (1987, 1988), the 26 value statements were grouped into the three locus of analysis, three ethical criterion, and five ethical climate types. (The value statements associated with each locus of analysis, ethical criterion, and ethical climate type are shown in the Appendix.) The item points for each statement were summed within each classification. Due to the unequal number of value statements corresponding to each group, the summed item points were then divided by the number of value statements in each group. For example, the summed item points for the caring ethical climate type were divided by seven, since there are seven value statements associated with that climate type. The summed item points for the rules ethical climate type were divided by four, etc. The result was a mean or average score.

Since one of the project's objectives was to scrutinize the necessity and importance of each dimension in Victor and Cullen's framework, the Ethical Climate Questionnaire statements were grouped according to locus of analysis, ethical criterion, and ethical climate type. This enabled the researcher to conduct the subsequent analysis regarding the essentialness of each ethical decision-making component as presented by Victor and Cullen.

Consistent with Victor and Cullen's original statistical analysis of their data investigating the relationship between firms and ethical climate types, a multivariate analysis of variance (MANOVA) was conducted to test the hypotheses depicting relationships between department types and ethical decision components and climate types.

Results

The results from this investigation are presented in three sections, corresponding to the three sets of hypotheses presented earlier.

Relationship Between Department Types and Locus of Analysis

Hypothesis 1a, 1b, and 1c predict that differences in the ethical decision-making locus of analysis would be found between the three types of departments. These predictions are based on the assumption that employees' ethical decision making would be influenced by the department's task (the function performed and the accountable stakeholder).

As hypothesized in H1a and show in Table 1, the employees in the technical core department more often perceive their ethical climate as having an individual, or limited organizational, focus. Neither of the other two department types in the organization exhibit as strong an orientation toward an individual locus of analysis as the technical core department employees. The analysis of variance procedure indicates statistical significance for this hypothesized relationship ($F_{2,164} = 40.45$; $p < 0.001$).

The buffer departments are predicted to be associated with a local (organizational) locus of analysis in H1b. The data in Table 1 show that buffer departments demonstrate a mix of locus of analysis: individual (mean of 9.12), local (mean of 8.85), and cosmopolitan (mean of 8.03). The relationship between the buffer departments and a local locus of analysis, as hypothesized, is not the strongest relationship, since the mean score for the technical core employees regarding the local locus of analysis is greater than the buffer department (means of 9.96 and 8.85, respectively). Although the analysis of variance results indicate a statistically significant difference across the three departments regarding the local level of analysis ($F_{2,164} = 10.17$; $p < 0.001$), the relationship indicated by the data is not as predicted.

As hypothesized, the boundary-spanning departments predominantly exhibit a cosmopolitan locus of analysis (mean of 14.35). In an effort to determine if there is a statistical relationship between the boundary-spanning departments and a cosmopolitan locus of analysis, an analysis of variance is performed. The analysis of variance indicates a statistically significant relationship between the two variables ($F_{2,164} = 36.12$; $p < 0.001$).

An analysis of the data shows that two of the hypothesized relationships between the type of department and the locus of analysis used in ethical decision making (H1a and H1c) are supported by the data in this project. The implications of these findings are discussed later in this paper.

Relationship Between Department Types and Ethical Criterion

The second focus of the data analysis considers the departments' ethical criterion used in ethical decision making. H2a predicts that the technical core department exhibits an egoism ethical criterion in ethical decision making. As shown in Table 2, these employees indicate that the egoism ethical criterion is representative of their workgroup's climate, more than the benevolence or principle criterion (means of 15.86, 4.06, and 7.61, respectively). An analysis of variance is performed to assess the hypothesized relationship. A statistically

Table 1 Locus of Analysis Decision Making by Department Types

Department	Technical Core	Buffer (mean scores)	Boundary Spanning	Univariate Results F (2,164)	$p <$	Hypothesis Support
Individual	12.81*	9.12	3.59	40.45	0.001	as predicted
Local	9.96	8.85*	5.82	10.17	0.001	significant, not as predicted
Cosmopolitan	4.27	8.03	14.35*	36.12	0.001	as predicted

* predicted relationship
Wilks' Lambda = 0.570
$F = 17.50$
$p < 0.001$

Table 2 Ethical Criterion Decision Making by Department Types

Department	Technical Core	Buffer (mean scores)	Boundary Spanning	Univariate Results F (2,164)	$p <$	Hypothesis Support
Egoism	15.86*	9.82	5.42	15.13	0.001	as predicted
Benevolence	4.06	5.80*	2.30	6.77	0.003	as predicted, but caution
Principle	7.61	9.60	15.63*	9.89	0.001	as predicted

* predicted relationship
Wilks' Lambda = 0.630
$F = 14.04$
$p < 0.001$

significant relationship is found between the technical core department and the ethical criterion egoism ($F_{2,164} = 15.13$; $p < 0.001$).

H2b predicts a relationship between the buffer departments and a benevolence ethical criterion. As Table 2 shows, these departments more strongly demonstrate a benevolence ethical decision criterion than the technical core or boundary spanning departments' climates (means of 5.80, 4.06, and 2.30, respectively). However, the employees of the buffer departments indicate a strong reliance upon egoism and principle as ethical criterion (means of 9.82 and 9.60, respectively). Although the analysis of variance procedure which compared the buffer departments with the hypothesized ethical criterion (benevolence) provides statistical support for the hypothesized relationship ($F_{2,164} = 6.77$; $p < 0.003$), this support for the hypothesis must be considered in the proper context. Utilization of the benevolence ethical criterion by the employees in the buffer departments is discovered, thus H2b is supported by the data in this project. However, a more in-depth look at the data fails to show that the employees in the buffer departments predominantly use benevolence as the ethical decision criterion. Rather, they appear to recognize the presence of egoism and principle as the ethical decision criterion in their workgroup ethical climate. Thus, the statistically significant support for H2b must be perceived with caution.

It is predicted, in H2c and shown in Table 2, that the boundary spanning departments exhibit a principle ethical criterion (mean of 15.63), compared to the technical core and buffer departments reliance upon principle ethical criterion (means of 7.61 and 9.60, respectively). An analysis of variance explores the strength of the relationship between the boundary spanning departments and a principle ethical criterion. This test provides significant support for the hypothesized association ($F_{2,164} = 9.89$; $p < 0.001$).

A statistical analysis of the hypothesized relationships between the type of department and the ethical criterion used in ethical decision making finds all three associations to be statically significant: technical core department-egoism criterion, buffer departments-benevolence criterion, and boundary spanning departments-principle ethical criterion. The implications of these discoveries and the caution underlying the buffer departments-benevolence criterion relationship are discussed later in this paper.

Relationship Between Department Types and Ethical Climate Type

Hypothesis 3a, 3b and 3c combine the proposed relationship stated in the prior hypotheses (H1a with H2a, H1b with H2b, and H1c with H2c). This consolidation leads to the prediction of a relationship between a department type and an ethical climate type (see Table 3).

The technical core department is predicted to have an instrumental ethical climate type. Due to the statistical support for H1a and H2a, it would not be surprising to find statistical support for H3a. An analysis of variance of the hypothesized relationship discovers that H3a is supported by the data in this project ($F_{2,164} = 23.64$; $p < 0.001$). The strength of the relationship between the technical core department and both the individual locus of analysis and the egoism ethical criterion contribute to statistical support for an association between the technical core department and an instrumental ethical climate type. No other ethical climate type is indicated as more reflective of the technical core department's climate.

Table 3 Ethical Climate Type by Department Types

Department	Technical Core	Buffer (mean scores)	Boundary Spanning	Univariate Results F (2,164)	$p <$	Hypothesis Support
Instrumental	13.16*	7.15	2.51	23.64	0.001	as predicted
Caring	5.54	8.44*	4.65	7.16	0.002	as predicted
Independence	4.04	1.94	1.57	4.43	0.014	
Rules	1.94	3.86	3.70	2.64	0.080	
Law and Code	0.67	2.47	9.43*	41.23	0.001	as predicted

*predicted relationship
Wilks' Lambda = 0.493
$F = 13.57$
$p < 0.0$

Since the hypothesized relationship in H1b is not supported by the data as predicted and H2b is statistically supported but this result should be qualified, it is surprising that the proposed ethical climate type in H3b (caring) is supported by the data. An analysis of variance investigating the relationship between the buffer departments and a caring ethical climate, incorporating an organizational locus of analysis and a benevolence ethical criterion, shows a significant relationship ($F_{2,164} = 7.16$; $p < 0.002$). A caring climate type is more reflective of the buffer departments' climate than the technical core or boundary spanning departments' climates.

As hypothesized in H3c, the boundary spanning departments predominantly manifest a law and code ethical climate (mean of 9.43), incorporating a cosmopolitan locus of analysis and a principle ethical criterion. An analysis of variance reveals that this relationship is statistically significant ($F_{2,164} = 41.23$; $p < 0.001$).

All three of the hypothesized relationships between department types and ethical climate types are supported by the data in this project: technical core department-instrumental ethical climate, buffer department-caring ethical climate, and boundary spanning department-law and code ethical climate. Implications drawn from these findings are discussed in the following section of this paper.

Conclusions and Implications

It should be recognized at the outset that the results of this empirical investigation are limited to a single organization. The ethical subclimates of a single firm are assessed, leaving future researchers with the task of investigating other financial services firms or organizations from other industries. Future investigations could serve to validate or correct the associations between departmental tasks and ethical decision making found in this study, either within or across industries. If these relationships are found to exist uniquely in financial institutions, then the general structure and external environmental forces (e.g., regulatory agencies) unique to this industry may contribute to the development of the organizational ethical subclimates of financial services firms. It may be discovered that ethical subclimate findings are industry-specific.

This project also has methodological implications regarding future ethical climate research. The rating task assigned to the subjects in Victor and Cullen's (1987) original study to develop the ethical climate typology is vulnerable to social desirability bias, a bias common in business ethics survey research (Randall and Gibson 1990). Subjects tended to rate many of the ethical statements at the high end of the Likert scale. This caused the researcher to speculate about a "halo effect," where the "ethical-sounding" statements were rated at the extreme high end of the scale and the "unethical-sounding" statements were rated at the extreme low end of the scale. To minimize the potential for this social desirability bias, the task assigned to the subjects was changed from a rating to a ranking task. This procedure has been found to be less susceptible to the hazard of social desirability bias (Ravlin and Meglino (1987). Although the research focus of this project was not to assess the degree of social desirability bias comparing the two methods, the ranking task does circumvent the potential for social desirability bias which appeared in the pre-test phase.

Focusing upon the primary research objective, this investigation does give impetus to a research stream which considers the influence exerted by the departmental task upon employees' ethical decision making. By distinguishing between the technical core, buffer, and boundary-spanning departments, differences emerge in the locus of analysis and ethical criterion used by the employees in their decision-making processes. These differences are further reflected in the predominance of particular ethical subclimates existing within the organization. The implications of the structural and decision-making process upon employees' ethical decisions and behavior could be critical to organizational efforts to control unethical actions and promote ethical activity. As discussed in the corporate social performance literature (summarized by Reed et al. 1990), characteristics of an organization's design could significantly influence the decisions made by the employees which could impact upon the firm's social performance or, as relevant to this project, the firm's ethical performance.

Finally, implications regarding ethical work climate theory can be drawn from the results of this research project. The perfect corresponding relationships across the diagonals in Tables 1 through 3 lead to the speculation of collapsing Victor and Cullen's (1988) original two ethical decision-making dimensions into a single construct. Additional empirical testing is required, but theoretical developments along these lines could be considered. For example, a reformulation of Victor and Cullen's (1988) ethical work climate typology, a single normative progression based upon a sociomoral perspective and traditional ethical orientation emerges, closely paralleling Kohlberg's (1981) three levels of moral development.

Influences upon Ethical Subclimates

Based upon a departmental analysis of the data, this research explored the inconsistencies in the ethical decision-making climates across dissimilar departments. It was discovered that the technical core (check processing) department tended to show an individual locus of analysis and use an egoism ethical criterion more than the other departments in the project. The data also showed that boundary-spanning departments (with a customer service focus) tended to assume a cosmopolitan locus of analysis and use a principle ethical criterion when resolving ethical issues at work. Based on the strength of these two relationships, the technical core department exhibited an instrumental ethical climate and the boundary-spanning departments exhibited a law and code ethical climate in this project. The relationship between the buffer departments and ethical decision-making dimensions is less clear from the analysis of the data in this project.

Technical Core Department. Employees working in the organization's technical core department are the most insulated employees in the firm. It is argued earlier in this paper that this insulation may contribute to a narrow ethical decision-making perspective manifested in an individual locus of analysis. In addition, a relationship between the technical core department and an egoism ethical criterion is predicted, based upon the belief that employees serving the organization by performing its basic productivity task would also demonstrate a concern for the organization's self-interest in their ethical decision-making. While these relationships are logical and empirically supported in this project, they also embody serious implications regarding employee ethical decisions leading to behavior. The narrow perspective of an individual locus of analysis closely mirrors the ethical criterion of egoism, where the focus is primarily upon the self at the exclusion, and possibly expense, of others. The notion of egoism is the least preferable ethical theory and could be associated with the least morally developed level of reasoning: preconventional. Kohlberg (1981) argues that as the individual progresses through the stages of moral reasoning, the socio-moral perspective broadens to include interpersonal relationships with other referent groups in society. This broader perspective is not seen in the ethical decision-making criteria exhibited by the technical core employees. Rather, their focus is narrowly framed toward the individual decision maker, which could lead to the quest for personal gain at the expense of others in the organization or in society.

It is argued that the egoistic notion is at the core of the business organization: pursuit of profit maximization and rugged individualism (Bowie 1991). However, evidence of these core values is also repeatedly seen as a motivator for what society has labelled unethical or unacceptable behavior: insider trading, government fraud, embezzlement, etc. It appears that these behaviors may be more common among technical core employees, since they seem to bring an individual locus of analysis and egoism ethical criterion to their ethical decision making.

Boundary Spanning Departments. Relationships between the boundary-spanning departments and a cosmopolitan locus of analysis, and the boundary-spanning departments and a principle ethical criterion are also discovered in this project. Based upon concepts embodied in the boundary-spanning literature, this research uncovers the possibility that forces external to the organization may influence the ethical decision-making process of an organization's boundary-spanning employees. The consistency found in the boundary-spanning departments regarding the locus of analysis and ethical criterion used by employees in their ethical decision making supports the earlier, theoretical position taken by Adams (1976, 1980), Leifer and Delbecq (1978), and others in the boundary-spanning field.

The influence exerted by external forces upon the boundary-spanning departments in this organization may be considered to be a positive factor, at least from an ethical decision-making perspective. The adherence to ethical standards and rules is generally supported by moral philosophers. This reliance upon ethical principles could lead to decisions based upon notions of universal ethical standards, a respect for individuals' rights, and the pursuit of benefit for all people. The boundary-spanning employees may exhibit higher stages of moral reasoning through their preference for the principle ethical criterion (Kohlberg 1981), which leads to the manifestation of a law and code ethical climate.

Complementing the focus upon the principle ethical criterion is the expanded locus of analysis perspective. Boundary-spanning employees appear to recognize others outside the organization as being affected by employee decisions, as well as having an effect upon the ethical decisions. The influence upon the boundary-spanning departments in the financial institution appears to come from various sources. Government agencies often control financial transactions. Compliance with these regulations could be seen as an adherence to societal standards of fairness and justice. Membership by the boundary spanners in professional associations or the organizational members' contact with other professionals could explain the orientation toward a cosmopolitan locus of analysis and the ethical criterion of principle decision making. Professions typically have codes of ethics which advocate values of integrity, honesty, and service to the population they serve. Finally, boundary-spanning departments are the most vulnerable to society-at-large. Exposure to the public provides boundary-spanning employees with a keen insight into public expectations. These expectations typically emphasize a service to a greater number, particularly at odds with a self-interest focus exhibited by technical core employees. Thus, numerous influences, relatively unique to the boundary-spanning departments in an organization, could explain the emphasis upon a cosmopolitan locus of analysis and a principle ethical criterion found in this project.

Buffer Departments. When assessing the ethical decision-making process for the buffer departments in the organization, a very different and less consistent picture emerges. These three departments primarily demonstrate an individual level of analysis, emphasizing the individual in the organization as a referent point for employee ethical decision making. Although the benevolence criterion was acknowledged by the employees in the buffer departments, these employees more often identified egoism and principle as the ethical criterion reflective of the workgroups's ethical climate. However, in combining the two hypothesized ethical decision-making dimensions (local locus of analysis and benevolence ethical criterion), the ethical climate type predicted from Victor and Cullen's (1987) original work (caring) was found to describe the buffer departments' ethical climate.

An explanation for the inconsistencies between the theoretical predictions and empirical findings may lie in the departmental task. Unlike the technical core's emphasis on the self-interest pursuit of the organizational primary task or the influence upon the boundary-spanning departments from external forces, the buffer departments have a more convoluted position in the organization.

The buffer departments' service to the technical core could account for the primary locus of analysis focus to be upon the individual in the organization. Yet, the intermediating role (between the technical core and boundary-spanning departments) assumed by the employees of the buffer departments also enables the boundary-spanning departments' influence to be seen in the emphasis upon a cosmopolitan locus of analysis. As shown in Table 1, the differences in the buffer departments' average scores for each of the three locus of analysis are relatively slight (9.12, 8.85, and 8.03).

A similar "dual perspective" is seen in analyzing the ethical criterion reflective of the buffer departments' climate. Although employees in the buffer departments appear to rely upon the benevolence ethical criterion more than their organizational colleagues (accounting for the hypothesized relationship, H2b, to be statistically supported), a more complex perspective must be considered. From Table 2 it is apparent that both egoism and principle are more critical as ethical decision criterion than benevolence for employees in the buffer departments. Paralleling the analysis used to explain the buffer department-locus of analysis relationship, the contradictory findings regarding the hypothesized relationship may also seem reasonable, possibly expected. The influence exerted upon the buffer department employees by the technical core and boundary-spanning departments could account for the utilization of egoism (strongly embedded in the technical core department's ethical climate) and principle (found as the key ethical criterion for boundary-spanning department employees).

Therefore, the buffer departments are truly fulfilling their departmental task to the organization: service to the technical core, as well as buffering the technical core from the influence of external forces represented in the organization by the boundary-spanning departments. By understanding the organizational task entrusted to the buffer departments, the resulting ethical decision-making framework exhibited by the buffer departments in this project begins to appear reasonable and appropriate.

Ethical Employee Behavior

Differences in the decision-making processes used by employees in the financial institution imply that there may also be differences in employee ethical behavior within the organization. This "organizational design-performance" linkage has already been discussed in the corporate social performance literature cited earlier. A boundary-spanning employee utilizing a cosmopolitan locus of analysis and a principle decision-making criterion may advocate a behavior based upon a concern for the rights of all individuals in society. Through the influence exerted upon the employee by the external environment (e.g., a regulatory agency, professional association, or the public in general), the employee's perception of ethical decision making and the criterion used in reaching an ethical decision may be radically different than the ethical decision-making process used by an employee in the same organization insulated from these external forces.

An employee in a technical core department may be oriented toward a concern for the maximization of self-interest for the individual manager or the organization as a referent group for ethical decision making. This orientation may influence this employee to select a substantially different course of action than an employee in a boundary-spanning department. The action may be based upon organizational benefit or self-interest, rather than a concern for others outside the organization, the adherence to regulatory control, or societal demands for ethical performance. Although these predictions are outside the scope of this research, the relationships between differing types of ethical decision making and the resulting employee decision making and behavior need to be empirically tested. A more in-depth understanding of the employees' ethical decision-making process, influenced by organizational ethical subclimates, could lead to a better explanation and prediction of employee behavior.

Future Research Questions

Future researchers investigating organizational ethical subclimates may want to incorporate other organizational forces into their discovery of the influences upon a department's ethical climate. Mintzberg (1983) argues that the organization's bureaucratic structure may influence the employee's decision-making process. This factor might also have ethical implications. Researchers might also consider historical events within the organization to be an influence on organizational climate, as found by Smircich (1983). Managerial style within the departments should be explored to determine its influence upon the organization's subclimates (Morgan 1986). Recently, Nystrom (1990) noted that the strategy type, which may differ between departments in the organization, may be a strong influence upon organizational subclimates. The review of the corporate social performance literature found in the JAI Press series (Reed et al. 1990) also provides numerous organizational characteristics which may influence employee decision making and organizational performance structure of the board of directors, composition of the management team, size of the organization, etc. None of these factors were considered in this research, but may provide additional information in explaining the findings reported here. Researchers may want to incorporate some or all of these intraorganizational factors into their organization ethical climate research design.

Since organizational ethical subclimates may influence employee ethical decision making and behavior, this researcher argues that we must become more penetrating in our definition and assessment of an organization's ethical climate. We can accomplish this task by focusing upon the ethical *subclimates* embedded within an organization's ethical climate. Through a more in-depth analysis of the organization at a departmental level, ethical subclimates, differences in ethical decision making within the organization, and influences upon the organization's ethical subclimates may become evident. Research regarding these differences and influences could have significant implications in our attempt to better understand, explain, and possibly predict employee ethical behavior.

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Appendix. Ethical Climate Questionnaire Value Statements

LOA	EC	
		1. *Caring Climate*
L	B	What is best for everyone in the company is the major consideration here.
L	B	The most important concern is the good of all people in the company as a whole.
I	B	Our major concern is always what is best for the other person.
I	B	In this company, people look out for each other's good.
C	B	In this company, it is expected that you will always do what is right for the customers and public.
C	E	The most efficient way is always the right way in this company.
C	E	In this company, each person is expected above all to work efficiently.
		2. *Law and Code Climate*
C	P	People are expected to comply with the law and professional standards over and above other considerations.
C	P	In this company, the law or ethical code of their profession is the major consideration.
C	P	In this company, people are expected to strictly follow legal or professional standards.
C	P	In this company, the first consideration is whether a decision violates a law.
		3. *Rules Climate*
L	P	It is very important to follow the company's rules and procedures here.
L	P	Everyone is expected to stick by company rules and procedures.
L	P	Successful people in this company go by the book.
L	P	People in this company strictly obey the company policies.
		4. *Instrumental Climate*
I	E	In this company, people protect their own interests above all else.
I	E	In this company, people are mostly out for themselves.
I	E	There is no room for one's own personal morals or ethics in this company.
L	E	People are expected to do anything to further the company's interests, regardless of the consequences.
L	E	People here are concerned with the company's interests, to the exclusion of all else.
L	E	Work is considered substandard only when it hurts the company's interests.
C	E	The major responsibility of people in this company is to control costs.
		5. *Independence Climate*
I	P	In this company, people are expected to follow their own personal and moral beliefs.
I	P	Each person in this company decides for themselves what is right and wrong.
I	P	The most important concern in this company is each person's own sense of right and wrong.
I	P	In this company, people are guided by their own personal ethics.

Key: LOA = Locus of Analysis (I = Individual, L-Local, C = Cosmopolitan),
EC = Ethical Criterion (E = Egoism, B = Benevolence, P = Principle).
(From Victor and Cullen 1988, p. 112)

Endnotes

An analysis of demographic data across department types failed to detect any significant differences: gender (female versus male), $p = .43$; age (21 to 30 years versus 31 to 42 years), $p = .78$; work experience (0 to 4 years versus 5 to 12 years), $p = .86$; and, education (no college versus college degree), $p = .17$). Although no significant differences were found when considering these demographic factors, it is possible that perceptions of ethical work climate and decision making may be partially attributed to the people in the department rather than the nature of the work itself.

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